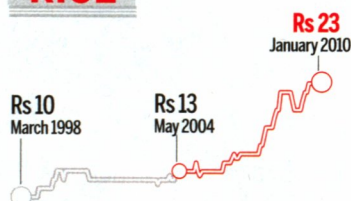


Why PRICES won't fall

Food price inflation is embedded in the DNA of the UPA regime. It created demand in the economy without tackling supply bottlenecks. Result: the *aam admi* is at the receiving end.

RICE



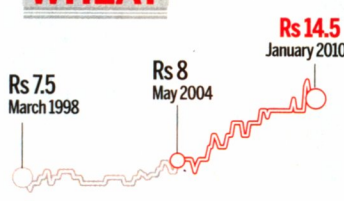
THE POLITICS To boost farmer incomes and the rural economy, the UPA ramped up support price for paddy from Rs 580 in 2004 to Rs 1,030/quintal. The alibi was low output. The move boosted output but triggered expectations in global prices and a price spiral.

THE ECONOMICS Farmers need to produce more to earn more but governments are myopic. Double productivity, not prices, from just 2,200 kg to 6,336 kg per hectare that China produces.

SOLUTION Use buffer stocks for price control. Invest in hybrid seed culture. China cultivates super hybrid rice delivering 10,500 kg per hectares on 15 million hectares.

Figures are retail prices per kg/litre
Source: Government of India

WHEAT

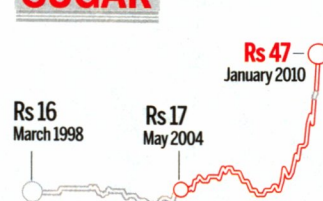


THE POLITICS The UPA hiked support prices from Rs 620 in 2004 to Rs 1,100 per quintal. Output crept up but prices raced as both the Government and private sector competed to procure. Worse, global prices rose 200 per cent between 2004 and 2008.

THE ECONOMICS High price structure is not sustainable. Three states produce over half the wheat output of 76 million tonnes. Productivity is highest in Punjab at 4,200 kg/ha but lower than that of France—6,740 kg/ha.

SOLUTION Limit procurement for buffer, do not crowd out the market. Use global futures to manage prices and convert Madhya Pradesh and Bihar into new Punjabs.

SUGAR



THE POLITICS It is a bitter-sweet crop for producers, consumers and politicians. The Government decides how much is produced, at what cost, the sale price and whether it can be exported or imported.

THE ECONOMICS Thanks to politics, price is divorced from costs. India is the second-largest producer and a drop in output impacts global prices. Not just in India, sugar prices globally are at a 29-year high.

SOLUTION This is the best time to decontrol sugar, ramp up productivity and produce in Brazil—which produces nearly 75,000 kg/ha and has over 60 million hectares to offer—for Indians to consume.